Northwind Logistics, Inc.

earnings call | Q3 FY2025

BEARISH

Management cut both revenue and EPS guidance materially, withdrew the FY2026 operating ratio target, and explicitly declined to call a bottom amid accelerating tonnage declines and a structural wage-versus-yield gap. The positives — last-mile profitability, pricing discipline, Laredo — are real but too small to offset the deterioration in the core network.

ANALYST SUMMARY

Northwind delivered a weak Q3 with revenue of $1.39B (+0.7%) and adjusted EPS of $1.71 (-4.5%), as tonnage fell 4.3% and operating ratio deteriorated 140 bps to 89.8%. The guidance cut is significant — FY revenue to $5.55–$5.65B and adjusted EPS to $6.60–$6.85, roughly a 7% EPS reduction just one quarter after a raise — and the refusal to reaffirm the FY2026 mid-87s OR target signals management has lost visibility. The structural issue flagged by the CFO is the key debate: ~6% wage inflation against ~4.5% yield requires density gains that a declining volume environment cannot provide. Constructive items are capital discipline (capex to $360M, San Antonio deferred, leverage at 1.4x), sustained pricing (+5.1% ex-fuel yield), and last-mile's first profitable quarter, but with October tracking in line with September's -5.6% we see no near-term catalyst and would wait for the January FY2026 guide.

COMPANY OVERVIEW

Northwind Logistics is a freight transportation company operating an LTL-style terminal network with linehaul operations, cross-border capability, and a growing last-mile delivery segment.

REVENUE AND EARNINGS PERFORMANCE

Q3 revenue of $1.39 billion vs. $1.38 billion a year ago; excluding fuel surcharge, revenue grew 1.4%. Adjusted EPS $1.71 (GAAP EPS $1.63, including $9 million of San Antonio construction deferral costs). Operating ratio 89.8%, 140 bps worse YoY. Last-mile revenue $204 million with a 0.4% operating margin, the segment's first profitable quarter. Free cash flow $88 million; net leverage 1.4x adjusted EBITDA; share repurchases moderated to $20 million.

YEAR-OVER-YEAR GROWTH

Revenue +0.7% YoY (+1.4% ex-fuel surcharge); adjusted EPS -4.5% ($1.71 vs. $1.79); tonnage per day -4.3% YoY (September worst at -5.6%); revenue per hundredweight ex-fuel +5.1%; last-mile revenue +19% (down from +24% growth last quarter); insurance and claims expense +12%; driver wage inflation ~6% per hour.

MANAGEMENT GUIDANCE AND OUTLOOK

Full-year revenue guidance lowered to $5.55–$5.65 billion from $5.75–$5.85 billion; full-year adjusted EPS lowered to $6.60–$6.85 from $7.10–$7.40. Q4 assumes tonnage down 4% to 6% with yield improvement of roughly 4.5%. Full-year capex cut to $360 million from $410 million. Management explicitly declined to reaffirm the prior FY2026 mid-87s operating ratio target; FY2026 guidance to be provided in January. San Antonio terminal opening deferred to fiscal 2026.

TOP RISKS

1. Deepening industrial demand softness with no sign of stabilization — tonnage down 4.3% in Q3, October running in line with September's -5.6%, driving volume deleverage across a largely fixed terminal network.
2. Structural cost-price gap: driver wage inflation of ~6% per hour versus yield guidance moderating to ~4.5%, requiring productivity and density gains precisely when declining volumes remove density.
3. Loss of forward visibility and credibility — guidance cut only 90 days after a raise, and management withdrew the FY2026 mid-87s operating ratio target; competitors are discounting aggressively, costing Northwind ~$40 million of annualized revenue it walked away from.

TOP OPPORTUNITIES

1. Last-mile segment inflection: $204 million revenue, +19% YoY, first-ever profitable quarter at 0.4% operating margin, with margin gains described as durable from insourcing volume off purchased transportation.
2. Pricing discipline holding — revenue per hundredweight ex-fuel +5.1% — positions the network for operating leverage when industrial volumes recover.
3. New Laredo cross-border terminal opened in September with volumes in line with plan, plus cost flexibility from a 3% attrition-driven headcount reduction, $50 million capex cut, and 1.4x net leverage preserving balance sheet optionality.

KEY EXECUTIVE QUOTES

> *“The softness in industrial demand that we flagged in July did not stabilize. It deepened.”*
> **- Dana Whitfield**

> *“If yield settles in the mid-4s and wages stay near 6%, we need productivity and density gains to close that gap, and density is exactly what a volume decline takes away.”*
> **- Marcus Lee**

> *“I own that the guidance was too optimistic on volume.”*
> **- Dana Whitfield**